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Development Economics
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FINAL REPORT

THE EFFECT OF VARIOUS RELATIONSHIP FACTORS ON BUSINESS SUCCESS;

Empirical Evidence from Business Partners of Pakistan and China



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16. Abstract The existing study investigates the dynamic association among various dimensions of relationship and their impact on interpersonal and inter-organizational commitment in a sample of business partners from Pakistanis and Chinese companies that do business together in Pakistan. Path modeling was used to explore the hierarchical nature of the relationship dimensions amongst one another and on the dependent variables. We conclude that relationship variables in our cross-cultural study are hierarchical and that personal relationships are critical to building and enhancing inter-organizational relationships. We further noted that some relationship dimensions may not have significant direct relationships with commitment, but their indirect and total effects may be significant. Our results challenge conventional conceptualization of relationship dimensions by suggesting a hierarchy of importance among these dimensions.			
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Final Report

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TABLE OF CONTENTS

List of Tables	3
List of Figures.....	3
Abstract.....	Error! Bookmark not defined.
SECTION 1.....	5
INTRODUCTION.....	5
1.1 Problem Statement	6
1.2 Research Objectives	6
1.3 Significance of the Study	6
1.4 Literature overview	7
SECTION 2.....	9
DATA, VARIABLE CONSTRUCTION AND METHODOLOGY	9
Core values enabling Chinese’ expatriates to overcome these challenges.....	10
2.2 Methodology and Estimation Techniques.....	13
2.2.1 Path Model Analysis	13
2.2.2Decomposing Correlations:.....	13
2.3 Hypothesis Formulation	14
SECTION 3.....	17
RESULTS AND DISCUSSION	17
SECTION 4.....	22
CONCLUSION, RECOMMENDATION AND LIMITATION OF THE STUDY	22
4.1 Conclusion and Recommendation.....	22
4.2 Research Limitations.....	22
Appendix A & B.....	24
Appendix A: Cronbach alphas of the measures	24
Appendix B.	26
References.....	30

LIST OF TABLES

Table 1: Goodness-of-fit Indices for the Original and Final Models.....	17
Table 2: Direct, Indirect and Total Effects	19
Table 3: Results of the Hypotheses.....	20

LIST OF FIGURES

Figure 1: Final Path Model	18
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PROJECT SUMMARY REPORT

THE EFFECT OF VARIOUS RELATIONSHIP FACTORS ON BUSINESS SUCCESS;

*Empirical Evidence from Business Partners of
Pakistan and China*



OVERVIEW

This study examines how different relationship factors influence interpersonal and inter-organizational commitment among Pakistani and Chinese business partners operating in Pakistan. Using path modeling, the research explores the hierarchical relationships among key dimensions of relationships and their impact on commitment.



KEY OBJECTIVES

- ✓ To identify and examine various relationship dimensions in Pakistani-Chinese business partnerships.
- ✓ To analyze the hierarchical structure among relationship factors.
- ✓ To assess the direct, indirect, and total effects of relationship factors on interpersonal and inter-organizational commitment.
- ✓ To provide empirical evidence to guide stronger business relationships and long-term collaboration.



METHODOLOGY



Approach: Quantitative – Path Modeling (Structural Equation Modeling)



Sample: Business partners of Pakistani and Chinese companies doing business in Pakistan



Analysis: Hierarchical relationships among relationship dimensions and their effects on commitment



Focus: Interpersonal Commitment and Inter-organizational Commitment



KEY FINDINGS



Relationship variables are hierarchical in nature.



Personal relationships are the most critical drivers for building and enhancing inter-organizational relationships.



Some relationship dimensions do not show significant direct effects on commitment but have significant indirect and total effects.



The findings challenge conventional conceptualization by establishing a hierarchy of importance among relationship dimensions.



IMPLICATIONS



Organizations should prioritize the development of personal relationships to strengthen business ties.



Relationship-building strategies should consider both direct and indirect pathways to commitment.



Managers and policymakers can leverage these insights to foster sustainable partnerships between Pakistani and Chinese firms.



The hierarchical model provides a practical framework for nurturing long-term collaboration and trust.



CONCLUSION

Relationship factors play a pivotal role in shaping commitment between Pakistani and Chinese business partners. This study demonstrates that personal relationships form the foundation of successful inter-organizational relationships, and understanding the hierarchical influence of relationship dimensions is key to achieving lasting business success.

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SECTION 1

INTRODUCTION

The Pakistan and China relationship traced back to 1953 which was recently firmly revealed in the signing of a bilateral free trade agreement known as China Pakistan Free Trade Agreement (CPFTA) – China Pakistan Free Trade Agreement (CPFTA) in 2006. This agreement was then implemented in July 2007. The main objective of CPETA was to provide market access to the product of each other on reciprocal basis and to promote a bilateral trade agreement. In the first three years of phase-I both of them offered each other tariff elimination up to 36% of the overall tariff lines, as per their Tariff Reduction Modalities (TRM). After successful completion of phase-I, the phase-II was negotiated in 2013, with the objective of further lowering tariff to normalize trade procedures. But unfortunately, the negotiation on this phase is not yet concluded.

The most recent dimension of relationship between Pakistan and China is witnessed in China Pakistan Economic Corridor (CPEC). The CPEC besides ensuring regional and economic cooperation provides a unique opportunity for businesses to its people to work together for mutual benefits. Therefore, it is the need of the hour that both the Pakistani and Chinese firms get together and usher the new era for business as well as economic development. Extant literature shows various aspects of business-to-business cooperation including both formal joint ventures as well as informal cooperating enterprises. Traditionally, the relationship of businesses is being studied from purely contractual point of view in western literature. According to Ambler (1994), the concept of business relations is not unique to western literature and has long been present in China. As in Asia, the term “Gaunxi”, which consists of social or interpersonal relationship, is referred to the relationship marketing (Ballantyne, 1994), and is considered as the back-bone of business activities in China (Lou and Chen, 1997; Yau, 1988).

It is estimated that on average 50% of the businesses are found to be failed due of lack relationship maintenance in their businesses and this failure rate reached up to 80% in developing part of the world (Macleod, as quoted by Ladzani and van Vuuren, 2002:155 and SDBC 1996:22). Therefore, this study focus on looking into this relationship with behavioral perspective, i.e. relational norms, both at individual as well as organizational level. The study gives prominence to relationship at personal and

inter-organizational levels and that can be applicable both across Western and Chinese contexts. In order to identify the main construct of relationship which describes necessary ingredients and outcomes of a successful business between two parties belonging to different nationality and culture, different conceptual background were examined from the available literature. Moreover, an extant literature related to social change, relationship of buyers and sellers, relational theory, network theory and channel relationships all were considered.

In relational literature it is common for researchers to find out international business relationships by copying the western construct. But such an approach is rejected in cross-cultural research because it is unable to tap into the real spirit of international or cross cultural contextual factors. It is suggested for researchers conducting international research to consider the theoretical construct from both cultural perspectives. A conceptual model is proposed for testing business relationships empirically, incorporating both interpersonal and inter-organizational relationships with success of business between partners of these two countries, applicable in the context of CPEC (China-Pak Economic Corridor).

1.1 Problem Statement

Generally, misunderstanding of behaviors and relations between the business partners affects maintenance of their business in the long run. Their short term selfish opportunistic behaviors does not predict very well their relationship to be maintained in future and have contributed to failure of their business in the long term.

1.2 Research Objectives

The main objectives of the study were:

- To identify key dimensions of relationship affecting business success in Pakistan.
- To identify the conceptualization of long term business success relationships between business partners of China and Pakistan.

1.3 Significance of the Study

The study would contribute in providing understanding to the people that how they should have to make their business successful by looking to all important factors

affecting success of businesses. It would reduce their perceived risk of failure and would increase their chance of success in businesses with expatriates of China.

1.4 Literature overview

The literature has described commitment as the desire and insurance of continuation of relationship (Wilson, 1995), and as either implicit or explicit assurance of engaging partners to continue this relationship (Dwyer and Schurr, 1995). The importance of the use of commitment to study relationship is due to its ability to be used both at conceptual level, i.e. for symbolizing stability, and operational level for measure long-term relationships (Han, 1992).

Mummalaneni and Wilson (1991) and Wilson and Mummalaneni, (1988) have recognized the role of interpersonal elements of relationship in inter-organizational relationship development and its importance for improving commitment as a whole. Commitment at personal level occurs more than commitment at inter-organizational level (Rylander et al. 1997).

Brown et al. (1995) and Gundlach et al. (1995) have also conceptualized commitment in studying inter-organizational relationships with a global viewpoint by using a multi-component approach. Extant literature has identified various dimensions of business relationship, which are considered as antecedents, impacting commitment both at interpersonal as well as inter-organizational level. These dimensions are social bonds, cooperation, trust, face, time orientation, and reciprocity.

The social bonds have been considered the impact of emotional or personal elements on relationship within business context and with people of host country. Chinese in which “Guanxi” composed on element of closeness, friendship and social interaction that all are essential constitutions of social bonding (EAC Group, 1993). Similarly, the literature on trust demonstrated that it is multi-dimensional construct including confidence, responsibility, honesty, competence, helpfulness and fairness (Morgan and Hunt, 1994; Moorman et al., 1993). It is very essential in business transactions as an alternative to formal obligation (Anderson and Weitz, 1990; MacNeil, 1980).

In the western literature, it is a way of deterrence to the opportunistic behaviors (Morgan and Hunt, 1994). It has gained much importance in literature of guanxi where it is a fundamental social and business norm in culture of China. In the same way face ‘mianzi’ as an important factor, came out from the literature of guanxi. The researchers suggested the importance of guanxi in the context of doing business with Chinese (Wu, 1996; Yau, 1988). Although, many expatriates are not aware from break to a long term relationship, that occurs from loss of face with Chinese (MacInnis, 1993).

The time orientation in the long term is valued when the partners seeking long term outcome produced by keeping long term relationship with customers. It is conceptualized that initially the relationship is non-profitable but will create profit in the long-run (Gronroos, 1994).

The reciprocity norm on the part create a compulsion on both parties, therefore it is recommended that acting like a ‘hostage’ will improve the relationship network between Chinese and Pakistanis (Wu, 1996). However, there are no empirical guidelines on the impact of reciprocity on both inter-personal as well as inter-organizational commitment.

1.5 Organization of Project Report

The study consists four sections, where section one present purpose and significance of study along with the organization of the study complete under the heading of introduction. Section two covers the data and methodology of the study. Section three highlights results and discussion. Conclusion, recommendation and limitation of study are described in section four of the study.

SECTION 2

DATA, VARIABLE CONSTRUCTION AND METHODOLOGY

This section contains the systematic and scientific way to have desired objective of the study. Since this is the study of various factors of interpersonal and inter-organizational which effect business in partners China and Pakistan. Therefore the respondents for this study are both Pakistani businessmen who are CEOs and Managers of the companies involve in day to day business relationship with Chinese and as well as Chinese business expatriates managers doing their businesses in Pakistan.

The primary data collected through semi-structure questionnaire based on five-point Likert scales anchored by strongly agree and strongly disagree. The same questionnaire was also translated (into Chinese) and then translated back (to English) to ensure accuracy and equivalence. The data is collected using a direct survey through visiting the companies who directly or indirectly do business with chines companies. The effective final sample was consists of 55 companies who were involved in business with Chinese. The sample was not dyadic because it was difficult to find a reliable data base and problems of identifying the partners matching. But, the response rate which was relatively acceptable suggests that the result could be generalize to the whole population. Majority of the respondents were either directly involved in management of relationship on daily basis or they were CEOs by profession.

The construct available from the literature was measured through a chain of four to nine items five points' likert scale (Apendix A). These items were the mixture of existing and adapted scale and the new scale designed as a result of in-depth interviews with both Chinese and Pakistani respondents. The measure of internal consistency (Cronbach Coefficients) was used to test the reliability of scale. Additionally, for establishing a principal construct, factor analysis was used and finally confirmatory analysis was done to develop a discriminatory and convergent validity.

Subsequently, the total constructs those were used in path analysis had a psychometric properties,

Which help to alleviate the assumption and hypothesis underlying the path analysis. The dependent variable of the study is business success and the independent variables are interpersonal and inter-organizational dimensions of relationships which includes; social bonding, cooperation, trust, face (Gunaxi in Chinese), time orientation over the long-run and reciprocity between the parties.

2.1 Variable Construction

Core values enabling Chinese' expatriates to overcome these challenges

There are some core values observed in the literature which were found very useful in enabling Chinese expatriates to overcome all these challenges they are facing in their successful adjustment in Pakistan. Such core values are composed on various dimensions describing their relationship with host nations and in business. It is suggested in the literature that these dimensions act as the antecedents of expatriates' successful adjustment with people, business and social relationships in Pakistan. These dimensions have effected both interpersonal commitment as well as inter-organizational commitments for working overseas.

2.1.1 Social bonds

The social bonds have been considered the impact of emotional or personal elements on relationship within business context and with people of host country. This construct displayed the similar relationship of Chinese in which "guanxi" composed on element of closeness, friendship and social interaction that all are essential constitutions of social bonding (EAC Group, 1993). Although, the majority of western researchers and expatriates consider that there is no association between the social interactions and business relationships (Iacobucci and Ostrom, 1996). But the literature on guanxi demonstrated that the social interaction is very important for developing close relations and friendship with Chinese in Pakistan in Chinese perspectives. Greater the level of social interaction between them stronger will be their relationships (EAC Group, 1993).

The friendship support the cross cultural relationships in competing with environmental variation by developing cultural sensitivities and understanding personal affection and loyalty (Osland, 1990). There is a strong association between relationship commitment and greater social bond. Such commitment for relationship and sustainability can be improved by lack of opportunism and shared values between people of China and Pakistan (Wilson and Mummalaneni, 1986; Morgan and Hunt, 1994). The social bonding is a very important factor in the commitment development across national and international relationships' arena (Hakansson and Johanson, 1990; Williams et al., 1997).

It is also very imperative to examine that the nature of guanxi in Chinese relationship across the culture can be achieved if social bonding have important effect on other variables of relationship. Social bonding supports the present shared values which enhances trust and minimize opportunism (Morgan and Hunt, 1994). The long term relationship between Chinese and Pakistani could be maintained by reciprocation of benefits and favors (Wu, 1996). All these are possible only through social interaction. The reciprocal relationship can be developed through social interaction as like giving face. The model suggested here in this study display the centrality and superior position of social bonding as compared to other dimensions. Cooperation plays an important role of an exchange predictor. Cooperation is a coordinated action of a firm in a mutual dependent relationship for achieving singular or shared output with possible reciprocation over time. Cooperation shows the willingness of parties to enhance exchange far away from transactions in building a relationship (Nielson and Wilson, 1994). It will be a predictor for constant exchange (Moller and Wilson, 1988). It is a construct containing many dimensions such as joint action, flexibility, harmony and sharing information or resources (Heide and John, 1988; Noordewier et al., 1990; Nielson and Wilson, 1994). The complexity in sharing information and communication across cultures can be an important obstacle to business and other relationship. Therefore an effective dealing with Chinese required fluency in Chinese language (Terpsta and David, 1985; Lee and Lo, 1988). The making of joint decision and mutual goals between individual expatriates could be increased through commitment and satisfaction (Heide and John, 1992; Nielson and Wilson, 1994; Wilson, 1995). Holm et al. (1996) studied that no research is previously carried out on cooperation in international relationships of expatriates and suggested that more research should be done in this area. They further argued that cooperation can result increased commitment and trust on expatriates relationships.

2.1.2 Trust

Trust is characterized as the confidence of a party on the integrity and reliability of another partner. Inter-personal trust refers to the expectation held by a person or group that promise, written or verbal statement and word of other person or group could be relied upon (Rotter, 1967). The literature on trust demonstrated that it is multi-dimensional construct including confidence, responsibility, honesty, competence, helpfulness and fairness (Moorman et al., 1993; Morgan and Hunt, 1994). Trust is a collection of feeling (affective part). In order to sustain trust both of them should have to exist. They viewed that behavioral element of trust cannot be affected by emotions in a culture of individualism (e.g. Australia) and can be affected in a collectivistic culture such as China. It is a value of Confucianism that influences Chinese. It is considered as a norm in relationship of individuals and is recognized as an important component in relation with Chinese (Osland, 1990; Wu, 1994).

Thorelli (1990) explained trust in culture of Asia often ignored the demand of a legal contract. He also pointed out that trust development is an activity that consumes time. The literature of western world has also theorized trust as a predictor of effective relationship and commitment (Achrol, 1991; Morgan and Hunt, 1994). It is very essential in business transactions as an alternative to formal obligation (MacNeil, 1980; Anderson and Weitz, 1990). In the western literature, it is a way of deterrence to the opportunistic behaviors (Morgan and Hunt, 1994). It has gained much importance in literature of guanxi where it is a fundamental social and business norm in culture of China. Such advantages and role of trust it play in long term relationships, clarify its critical role in guanxi and is considered as an important and effective factor for business operations of Chinese in Pakistan (Wu, 1994).

2.1.3 Face

The face ‘mianzi’ as an important factor, came out from the literature of gunaxi. The researchers suggested the importance of guanxi in the context of doing business with Chinese (Yau, 1988; Wu, 1996). Although, many expatriates are not aware from break to a long term relationship, that occurs from loss of face with Chinese (MacInnis, 1993). Face refers to the prestige and social status of an individual by others and need through performing a social role successfully (Hu, 1944). The value of corresponding reputation and face serve as ‘hostage’ to guarantee a promise to be kept (Williamson, 1983; Osland, 1990; Wu, 1994). The same like construct is not found in the literature of Pakistanis relationship, with the nearest to harmony from the literature of cooperation (Nielson and Wilson, 1994). In opposite to the face value in Chinese society the importance of relationship is ignored in the individualistic society that influences the relationship of expatriates and their adjustment in individualistic society and lead to their failure overseas (Hofstede, 1983).

2.1.4 Time orientation

The time orientation in the long term is valued when the partners seeking long term outcome produced by keeping long term relationship with customers. It is conceptualized that initially the relationship is non-profitable but will create profit in the long-run (Gronroos, 1994). The Zamete and Bovarnick (1986) described guanxi as a type of personal relations that renders benefits in the long run as compared to the gain in short term. It is a continuous relationship between two individuals Kirkbride et al. (1991). The time dimension in maintaining guanxi composed on the past time and continuity in future. Here the past time means that it is not easy to break relationship or established again a broken relationship with the people of China. While the continuity means that once a guanxi is developed then both individuals and parties will have to keep the relationship sustainable through reciprocation of mutual benefits and favors (Wu, 1996). The continuity with guanxi would act like an antecedent to maintain a relationship (Yau,

1988). However, both of Pakistani and Chinese literature accepted that dedication to a long lasting relationship by two parties has good effect on continuation of success and relationships.

2.1.5 Reciprocity

Reciprocity refers to mutually interdependent exchange of benefits between two or more individuals (Goulder, 1960). This is characterized by a ‘two way street’ idea of relational exchange. However, relationship characterized by unequal exchange of benefits is known as exploitation (Goulder, 1960).

Reciprocity is one of the important cultural values in China and is inherent in the creation and sustenance of guanxi (EAC Group, 1993; Wu, 1994). It is not necessary that there should be equal reciprocation (Pye, 1986). There is a minimum hesitancy in order to be the initial and greater recipient in relations (Osland, 1990). The reciprocity norm on the part create a compulsion on both parties, therefore it is recommended that acting like a ‘hostage’ will improve the relationship network between Chinese and Pakistanis (Wu, 1996). However, there are no empirical guidelines on the impact of reciprocity on both inter-personal as well as inter-organizational commitment.

2.2 Methodology and Estimation Techniques

2.2.1 Path Model Analysis

Path analysis method is developed by Sewall Wright and is used to identify that whether a multivariate set of non-experimental data fits well with a particular (a prior) causal model or not. Path analysis can be conducted as a hierarchical or sequential multiple analysis. For each endogenous variable we shall conduct a multiple regression analysis predicting that variable (Y) from all other variables which are hypothesized to have direct effects on Y. We do not include in this multiple regression any variables which are hypothesized to affect Y only indirectly (through one or more intervening variables). The beta weights from these multiple regressions are the path coefficients shown in the typical figures that are used to display the results of a path analysis.

2.2.2 Decomposing Correlations:

The relationship between two variables may be decomposed into four components:

- The direct effect of X on Y,
- The indirect effect of X (through an intervening variable) on Y,
- A non-analyzed component due to unknown direction of causation for a path

and a false factor due to X and Y each being caused by some third variable or set of variables in the model.

2.3 Hypothesis Formulation

To examine the impact of characteristics on the several interpersonal and inter-organizational factors on the business success; evidence from the business partners Pakistan and China. The following hypotheses are formulated on the basis of which hypothesis are developed. The researcher has categorized the following hypothesis.

Hypothesis-1-28

H₁: There is interpersonal effect on the inter-organizational effect

H₂: Social bonding will have a significant direct effect on interpersonal commitment.

H₃: Social bonding will have a significant direct effect on inter-organizational commitment.

H₄: Social bonding will have a significant direct effect on face.

H₅: Social bonding will have a significant direct effect on trust.

H₆: Social bonding will have a significant direct effect on long-term time orientation.

H₇: Social bonding will have a significant direct effect on reciprocity.

H₈: Social bonding will have a significant direct effect on cooperation

H₉: Cooperation has a significant direct effect on interpersonal commitment

H₁₀: Cooperation has a significant direct effect on inter-organizational commitment.

H₁₁: Cooperation has a significant direct effect on trust

H₁₂: Trust has a significant direct effect on interpersonal commitment.

- H₁₃: Trust has a significant direct effect on inter-organizational commitment.
- H₁₄: Trust has a significant direct effect on long-term time orientation.
- H₁₅: Face will have a significant direct effect on interpersonal commitment.
- H₁₆: Face will have a significant direct effect on inter-organizational commitment.
- H₁₇: Face will have a significant direct effect on long-term time orientation.
- H₁₈: Face will have a significant direct effect on reciprocity.
- H₁₉: Long-term time orientation has a significant direct effect on interpersonal commitment.
- H₂₀: Long-term time orientation has a significant direct effect on inter-organizational commitment.
- H₂₁: Reciprocity has a significant direct effect on interpersonal commitment.
- H₂₂: Reciprocity has a significant direct effect on inter-organizational commitment.
- H₂₃: Social bonding has a significant indirect effect on inter-organizational commitment through interpersonal commitment.
- H₂₄: Face has a significant indirect effect on inter-organizational commitment through interpersonal commitment.
- H₂₅: Trust has a significant indirect effect on inter-organizational commitment through interpersonal commitment.
- H₂₆: Long-term time orientation has a significant indirect effect on inter-organizational commitment through interpersonal commitment.

H₂₇: Reciprocity has a significant indirect effect on inter-organizational commitment through interpersonal commitment.

H₂₈: Cooperation has a significant indirect effect on inter-organizational commitment through interpersonal commitment.

SECTION 3

RESULTS AND DISCUSSION

Results of the study reveals that there are six covariates related to inter-personal and inter organizational commitment. The model here found reliable and consistent with most of the findings from previous studies (Anderson and Weitz, 1990; Morgan and Hunt, 1994). However, further we suggests that such covariate were existed in some hierarchical order, with social bonding as the highest level of construct, had affected several others dimensions of relationship.

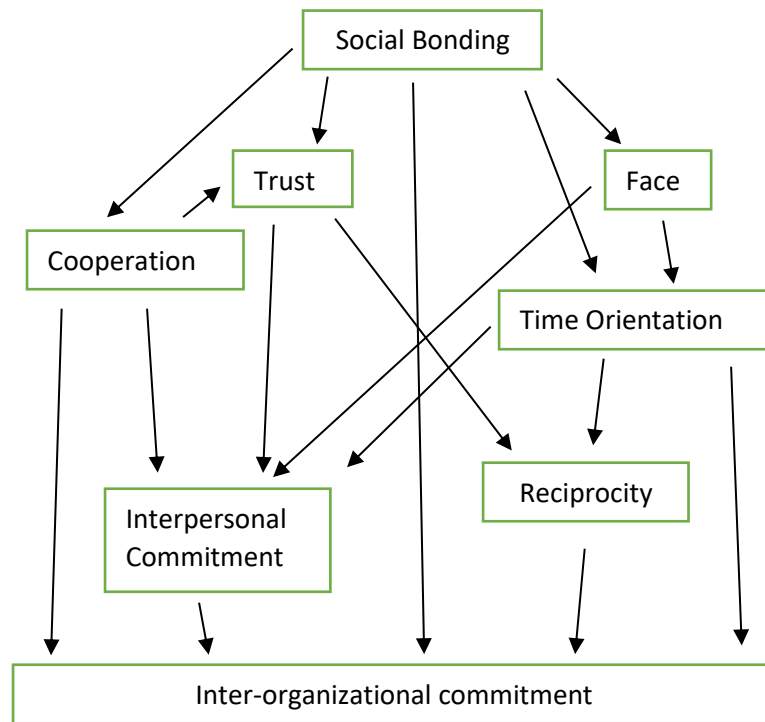
The actual model which is hypothesized shown in section 3 is tested to examine the relationships hypothesized in this research. The model provides a non-significant c^2 and adequate goodness-of-fit indices (displayed below).

Table 1: Main and Final Model - Goodness-of-fit indices results

Goodness of fit test	Main model estimates	Final model estimate	Interpretation (main model)
c^2 value Model fitness	19.05 (df = 6, p = 0.006)	5.67 (df = 6, p = 0.463)	This shows very good fit. The c^2 value shows highly insignificant.
Goodness-of-fit (GFI)	0.98	0.98	Almost perfect fit as it close to 1.
Adjusted GFI (AGFI)	0.92	0.98	Here almost perfect fit, very close to 1.
RMSEA	0.09	0.00	Almost zero, a very good fit.
Model comparison			
Tucker (Lewis) index (TLI)	0.93	1.02	Very close to 1, a very good fit.
Normed fit index (NFI)	0.97	0.98	Very close to 1, a very good fit.
Model reliability			
Parsimonious fit index (PClose)	0.11	0.83	Close to 1, shows a good fit.
Akaike information criterion (AIC)	79.05	66.65	Here the results are close to zero, shows good fit.

We used theory trimming techniques as recommended by James et al,(1982), the model was tested again by the removal of insignificant relationships hypothesized from the original model. The final model (illustrated in Fig. 2) where the

Figure 2: Final Path Model



A non-significant relationship exists between Reciprocity and Interpersonal Commitment But was retained in diagram to maintain the completeness of Model.

These figures of the model are standardized regression coefficients and most are significant at the 95% confidence level unless otherwise shown. The findings of the study are summarized in Table 2, and a summary of the hypotheses which has been set up in section 3 are supported and that of not supported is given in Table 3 displayed below.

Social bonding looks as a standard for the other five variables in the path model (shown in fig.2). From the results we conclude that the direct effects of social bonding on cooperation, trust and face are positive as well as significant. However, social bonding has only an indirect effect (through trust and face) on time, time orientation and reciprocity at the lowest level. Whereas the hierarchical ordering does not define the overall significance of the variables, it does suggest that total and indirect effects of those covariates higher in the hierarchical order are possible to come out as a key and significant.

Table 2: Direct, Indirect effect and Total effect – Interpersonal Commitment and Inter-Organizational Commitment

Construct	Interpersonal commitment				Inter-organizational Commitment			
	Direct effects Coefficient	t-value	Indirect effect Coefficient	t-value	Direct effects Coefficient	t-value	Indirect effect Coefficient	tvalue
Social Bonding	0.28	5.94***	0.28	5.75***	0.24	2.83***	0.34	4.8***
Face	No effect		No effect		0.25	3.27***	0.04	0.95
Trust	0.08	2.45**	0.04	0.88	0.22	2.34**	0.06	1.04
Time Orientation	0.15	4.54***	No effect		0.20	2.39**	0.07	0.95
Cooperation	0.30	0.06	0.08	0.15	0.23	3.2****	0.14	2.08*
Reciprocity	-0.04	6.76***	No effect		NoE	NoE	NoE	
Interpersonal Commitment	NA		NA		0.29	3.22***	NA	

Results in Table 2 states the benefits of using path modeling as opposed to multiple regressions as described in section 3. The indirect effects of social bonding on interpersonal commitment are very highly significant ($p < 0.001$) and we see that this is almost equal to the direct effects. The hypothesized relationships with regard to inter-organizational commitment follow the traditional research in this area. Even in this area our results differ from other researchers' findings. Our results support the hierarchical ordering discussed in previous sections. The implications are that greater insights can be gained by viewing relationship dimensions as falling into a hierarchy with social bonding as a major influence on other predictors. Our results suggest that on the basis of direct effects, cooperation, social bonding and time orientation commitment, the indirect effects of social bonding are almost double that of the direct effects (and hence the total effects are significantly magnified and indicate the pervasive influence of social bonding on other variables). For cooperation, the indirect effects are less than the direct effects but the indirect effects are not insignificant ($p < 0.05$) since their effects are statistically greater than zero ($p < 0.01$). These additional insights would not be picked up in multiple regression.

* $P < 0.05$, ** $p < 0.01$ and *** $p < 0.001$.

Table 2: Results of the hypotheses

Hypothesis	t-value	Conclusion
<u>Direct effects</u>		
H1 Interpersonal → Inter-organizational commitment	3.31***	Supported
H2 Social bonding → Interpersonal commitment	5.94***	Supported
H3 Social bonding → Inter-organizational commitment	2.83***	Supported
H4 Social bonding → Face	4.24***	Supported
H5 Social bonding → Trust	7.60***	Supported
H6 Social bonding → Time orientation	Not significant	Not supported
H7 Social bonding → Reciprocity	Not significant	Not supported
H8 Social bonding → Cooperation	9.77***	Supported
H9 Cooperation → Interpersonal commitment	5.86***	Supported
H10 Cooperation → Inter-organizational commitment	3.2***	Supported
H11 Cooperation → Trust	8.22***	Supported
H12 Trust → Interpersonal commitment	2.63***	Supported
H13 Trust → Inter-organizational commitment	Not significant	Not supported
H14 Trust → Time orientation	4.00***	Supported
H15 Face → Interpersonal commitment	Not significant	Not supported
H16 Face → Inter-organizational commitment	3.27***	Supported
H17 Face → Time orientation	4.63***	Supported
H18 Face → Reciprocity	4.80***	Supported
H19 Time orientation → Interpersonal commitment	5.74***	Supported
H20 Time orientation → Inter-organizational commitment	2.48**	Supported
H21 Reciprocity → Interpersonal commitment	Not significant	Not supported
H22 Reciprocity → Inter-organizational commitment	Not significant	Not supported

Indirect effects through interpersonal commitment

H23 Social bonding → Inter-organizational commitment	4.88***	Supported
H24 Face → Inter-organizational commitment		
H25 Trust → Inter-organizational commitment	Not significant	Not supported
H26 Time orientation → Inter-organizational commitment	Not significant Not significant	Not supported Not supported
H27 Reciprocity → Inter-organizational commitment	Not significant	Not supported
H28 Cooperation Inter-organizational commitment	2.17*	Supported

SECTION 4

CONCLUSION, RECOMMENDATION AND LIMITATION OF THE STUDY

4.1 Conclusion and Recommendation

This study proposes that there might be a hierarchy in the manner of relationship dimensions interact and impact on business success. In current study we show that the previous circumstances to inter-organizational relationship are also applicable for interpersonal commitment on business success. This can be confirmed that two types of commitment are also isomorphic although they are significantly related. It was concluded that interpersonal commitment is an important precursor to inter-organizational commitment in business success. Therefore we have been able to show from the results that there are various factors of business relationship that has effect on business success.

In addition, the study clarifies that the superiority of using path modeling as opposed to multiple regression for the current analysis. These results clearly suggest that additional results can be extended by using statistically more reliable techniques. It has been possible to validate that path modeling permits for the interaction of the independent variables and an examination of the impact they have on one another. Path modeling allows for the examination of dynamic relationship among dimensions and their complex impact on commitment. For some dimensions (especially which are shown on these at the top of the hierarchy) we observe that the indirect effects are more important than the direct effects, and even when the indirect effects are not as high as the direct, their impact may be statistically significant.

Moreover, this research contributes to the further reconceptualization of the relationships among the relationship dimensions and challenges the assumptions underlying in the current study.

4.2 Research Limitations

Since we know that path study assumes that the variables are measure with flawless precision. Given that the reliability of our results exceed (Cronbach $\alpha > 0.6$), this alleviate the errors which are causing from this assumption. However, this was not

our main interest of this study as we were hoped a more reliable presentation would be more relevant for theory building. In this research study one of our interest was more on theory enhancement and reconceptualization of the relationship dimensions than a comparison of means between Pakistan and China.

Due to various problems it was difficult to get data from the companies who are directly or indirectly do business with china or based in china. Therefore, we got a small sample of the companies in this study and empirically evaluated the results of the various business relationship factors on business success between Pakistan and China which describes the population study.

Appendix A

Appendix A: Cronbach alphas of the measures

Construct	Measures	Cronbach alphas	
Social bonding	I often interact with my partner on a social basis outside of work. My partner and I are able to talk openly as friends. I consider my partner as being almost as close to me as family. If I were to change business partners, I would lose a good friend in my current partner. I would consider whether my partner's feelings would be hurt before I made an important decision.	0.78	0.72
"Face-giving"	I take care not to embarrass my partner or make him/her feel uncomfortable in any situation. I would not confront my partner at a meeting even if he/she was in the wrong. I always give my partner an avenue out so that he/she would not be embarrassed ^a I am likely to resolve conflict in an agreeable way, rather than through the use of power.	0.76	0.71
Trust	My partner is honest and truthful with me. I have great confidence in my partner. I feel that I can trust my partner.	0.92	0.88
	Mutual trust has helped in developing my relationship with my partner. My partner tries to take advantage of our relationship for his/her company's own sake ^a		
Long-term Orientation	The time it took to establish the relationship with my partner was longer than I expected ^a I am dedicated to establishing a long-term relationship. I would continue the relationship with my partner even if it was not providing me any immediate benefit.	0.65	0.54
	I would easily discontinue the relationship with my partner if there was discord ^a If the relationship with my partner was discontinued, I would be unlikely to re-establish it again ^a		
Reciprocity	Calling in" favors is part of doing business. The practice of "give and take" of favors is a key part of the relationship between my partner and I. I feel a sense of obligation to my business partner for doing me a favor. I would feel embarrassed if I was unable to provide a requested favor to my partner. It is bad business not to return favors. If my partner was to do me a wrong, I would retaliate in kind.	0.72	0.70
Cooperation	My partner exhibits similar goals to mine. My partner and I make decisions together. My partner and I work together towards common goals. I would be understanding about my partner's temporary difficulties even if it meant a short-term loss to my company. I am willing to be flexible in the face of changed circumstances. I find communicating with my partner a barrier to the development of our relationship ^a	0.79	0.59
Interpersonal commitment	The business I have with my partner is an impersonal transaction ^a My main purpose in commencing the relationship with my partner was to gain immediate benefits for my company ^a I provide valuable market information to my partner. The relationship I have with my partner was developed over a long period of time. I carry on developing my relationship with my partner so as to provide future advantages for my company.	0.70	0.67

	I intend to exchange more important information with my partner. I intend to allow my partner more decision-making in the future. My partner and I share similar business values. My partner and I share similar social values.	
Inter-organizational commitment	We have promised resources (e.g., land, finance, raw materials) to our most important company. Both companies make equal contributions to the business. We expect the company we are dealing with to make the same contribution to the business relationship as we have. We intend to allocate more resources (e.g. land, finance, raw materials) to our business relationship with this company. We are bound to the company for future operations. We have discontinued any search for alternative companies to deal with ^a We believe that the reliability of this company has led to a rewarding business relationship.	M0.74 0.65

Appendix B

Research Questionnaire

The Effect of Various Relationship Factors on Business Success: Empirical Evidence from Business Partner of Pakistan and China

Respondent No

Start Time: ____ hr ____ min,

Date: ____ / ____ / ____

Background Information

1. Gender ☐ Male ☐ Female
2. Age _____
3. Marital Status ☐ Single ☐ Married ☐ Widow ☐ Divorced ☐ Separated
4. Number of Children _____
5. International experiences Nil ☐ Yes ☐ If yes then go to (6)
6. How much in Years _____ Months _____
7. Education Illiterate ☐ Literate ☐ If literate then your _____
8. Qualification _____
9. Your profession _____
10. Name of organization _____
11. Region of work _____
12. Residential Area Rural ☐ Urban ☐ Other ☐
13. Are you face language problems yes ☐ No ☐
14. Your job responsibility Staff ☐ Line ☐ Student ☐
15. Income Below 15000 ☐ B/w 15-30000 ☐ B/w 30-50 ☐
B/w 50-70000 ☐ B/w 70-10000 ☐ Above 1 ☐

NOTE

Tick the rating scale (1, 2, 3, 4, 5) given in front of each statement according to your satisfaction on the basis of your own experiences

The rating scales; **1** is for Undecided, **2** for Disagree, **3** for Strongly Disagree, **4** for Agree and **5** for Strongly Agree.

Construct	Measure	Rating Scales				
<i>Social bonding</i>	I often interact with my partner on a social basis outside of work	1	2	3	4	5
	I consider my partner as being almost as close to me as family					
	If I were to change business partners, I would lose a good friend in my current partner					
	I would consider whether my partner's feelings would be hurt before I made an important decision					
Comment						
<i>Face-giving</i>	I take care not to embarrass my partner or make him/her feel uncomfortable in any situation					
	I would not confront my partner at a meeting even if he/she was in the wrong					
	I always give my partner an avenue out so that he/she would not be embarrassed					
	I am likely to resolve conflict in an agreeable way, rather than through the use of power					
Comment						
<i>Trust</i>	My partner is honest and truthful with me					
	I have great confidence in my partner					
	I feel that I can trust my partner					
	Mutual trust has helped in developing my relationship with my partner					
	My partner tries to take advantage of our relationship for his/her company's own sake					
Comment						
<i>Long-term orientation</i>	The time it took to establish the relationship with my partner was longer than I expected					
	I am dedicated to establishing a long-term relationship					

	I would continue the relationship with my partner even if it was not providing me any immediate benefit					
	I would easily discontinue the relationship with my partner if there was discord					
	If the relationship with my partner was discontinued, I would be unlikely to re-establish it again					
Comment						
<i>Reciprocity</i>	Calling in" favors is part of doing business					
	The practice of ``give and take" of favors is a key part of the relationship between my partner and I					
	I feel a sense of obligation to my business partner for doing me a favor					
	I would feel embarrassed if I was unable to provide a requested favor to my partner					
	It is bad business not to return favors					
	If my partner was to do me a wrong, I would retaliate in kind					
Comment						
<i>Interpersonal commitment</i>	The business I have with my partner is an impersonal transaction					
	My main purpose in commencing the relationship with my partner was to gain immediate benefits for my company					
	I provide valuable market information to my partner					
	The relationship I have with my partner was developed over a long period of time					
	I carry on developing my relationship with my partner so as to provide future advantages for my company					

	I intend to exchange more important information with my partner					
	I intend to allow my partner more decision-making in the future					
	My partner and I share similar business values					
	My partner and I share similar social values					
Comment						
Inter-organizational commitment	We have promised resources (e.g., land, finance, raw materials) to our most important company					
	Both companies make equal contributions to the business					
	We expect the company we are dealing with to make the same contribution to the business relationship as we have					
	We intend to allocate more resources (e.g. land, finance, raw materials) to our business relationship with this company					
	We are bound to the company for future operations					
	We have discontinued any search for alternative companies to deal with					
	We believe that the reliability of this company has led to a rewarding business relationship					
	Comment					

Suggestions (if any):

End Time: ____ hr ____ min

Thank you very much for providing your precious time and cooperation.

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